WAVERLEY GATEWAY GUIDE

Connecting International Capital

FRENCH POLYNESIA

Oceania

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Papeete and Tahiti	Capital and economic hub, home to the government, the Assembly, the High Commission, the IEOM, the main port and Faa'a international airport	Services, logistics, finance, digital, construction
Bora Bora, Moorea and the Society Islands	Core of the international luxury-tourism offer; the archipelago forms Priority Development Zone 1 for investments over XPF 10 billion	Luxury hotels, resorts, marine tourism
Tuamotu–Gambier archipelago	Centre of Tahitian pearl farming; pearl exports rose 32% in volume and 16% in value in 2025	Pearl farming, aquaculture, eco-tourism, diving
Marquesas Islands	Remote archipelago with strong cultural and nature-tourism appeal, eligible for longer exemptions as Priority Development Zone 2	Cultural and eco-tourism, agriculture, crafts
Austral Islands	Temperate southern islands suited to agriculture, supporting the plan to raise marketed farm output by 30%	Agriculture, agri-food, renewables
Exclusive Economic Zone	One of the Pacific's largest maritime areas, supporting a tuna longline fishery whose exports fell to XPF 1.6 billion in 2025	Fisheries, seafood processing, blue economy
Islands-wide energy transition	Government targets renewables at 55–60% of the energy mix by 2030, with a reduced 20% corporate tax for renewable producers	Solar, storage, energy efficiency

INVESTOR ENTRY ROUTES

- Governing relationship: a French overseas collectivity with an autonomy statute (an "overseas country"), whose own government and Assembly set tax, economic and labour law, while the French State retains defence, justice, public order and currency
- Economic Development Agency (ADE): investment, business-creation and export support, and the entry point for local tax-incentive applications
- Local tax-incentive scheme (défiscalisation locale): tax credits of 30–40% for approved productive investments, combinable with French national overseas schemes for a combined benefit that can exceed 52.4% of eligible investment

- Priority Development Zones for investments of XPF 10 billion or more, offering long-term tax exemptions and, on request, import-duty relief
- Tax regime: no personal income, wealth or inheritance tax; 25% corporate income tax (20% for renewable energy, R&D and digital firms); VAT at 16%, 13% and 5%
- Currency: the CFP franc, issued by the IEOM and pegged at 1,000 XPF = €8.38, with convertibility guaranteed by the French Republic
- EU status: an overseas country and territory associated with the EU, outside the single market but with duty-free, quota-free access and EU cooperation funding

MARKET-ENTRY OBSERVATION

French Polynesia in November 2026 offers investors a stable, euro-pegged economy under French legal protection, with record tourism and an improving credit profile. GDP grew 1.2% in 2025 to XPF 729 billion, slightly above the national rate, with about 1,800 jobs created and unemployment down to 6.7%. Tourism reached a record 281,277 visitors, up 7%, with hotel occupancy at 67.7%, and pearl exports rebounded strongly. Inflation was 1.3% in 2025 and close to zero in early 2026. In June 2026 S&P raised the territory's rating to A+ with a stable outlook, citing stronger governance, moderate debt and large cash reserves. The government's Cap 2033 plan targets 450,000 visitors by 2033, renewables at 55–60% of the energy mix by 2030 and growth in agriculture and technology, while the 2026 budget of XPF 238.7 billion includes XPF 35.7 billion of investment.

French Polynesia's main structural challenge is broadening a small, import-dependent economy beyond tourism and public spending. Goods exports of XPF 13.8 billion cover only about 6% of imports, fish exports fell 31% in 2025, household consumption is flat, and the April 2026 split in the ruling Tavini party has left President Moetai Brotherson without a stable Assembly majority. Mitigation is strong: the Speaker and the main factions have said they will not seek to remove the government before the 2028 elections, the government used the engagement-of-responsibility procedure to adopt a budget amendment in July 2026, and sound public finances provide room to support activity. The planned 2027–2035 tourism strategy, generous local and national tax incentives and the energy transition offer investors clear opportunities in hotels, renewables, aquaculture and digital services.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Political fragmentation	Since April 2026 no group holds a majority in the 57-seat Assembly, and budget bills have needed special procedures	Main parties have ruled out a censure motion before 2028 and S&P rates the territory A+; track policy changes bill by bill
Debate on future status	The governing pro-independence movement seeks eventual sovereignty, though the President favours a gradual, consensual path	French and EU legal frameworks and the euro-pegged currency remain in place; structure contracts under French law
Tourism dependence and external shocks	Tourism is the main export, and S&P has flagged the risk of a slowdown linked to the Middle East conflict	Diversify source markets and archipelagos in line with the new tourism strategy; strong demand supports hotel investment
High costs and import dependence	Imports of XPF 247.2 billion dwarf goods exports, raising input and energy costs	Local renewables, agri-food and processing attract incentives and offer import-substitution opportunities
Fisheries performance	Fish exports fell 20% in volume and 31% in value in 2025	Processing and value-added seafood projects can draw on local tax credits and a large maritime zone
Small market and remote islands	Population is dispersed across five archipelagos, raising logistics costs	Priority Development Zone 2 gives longer exemptions to the outer archipelagos; target premium, export or tourism segments
Evolving incentive and tax rules	Tax incentives and rates are set by local law and periodically revised, for example mining tax falling to 25% from 2027	Take local tax advice early and secure ADE and tax-administration approvals before committing capital

INVESTOR RISK NOTE

French Polynesia's risk profile is that of an autonomous French territory with sound public finances, an A+ rating from S&P (raised in June 2026) and the legal and monetary security of the French Republic, including a CFP franc pegged to the euro with French-guaranteed convertibility. Growth of 1.2% in 2025, record tourism and falling unemployment underline the economy's resilience. The main considerations are political and structural: since the April 2026 split in the ruling party the government has lacked a stable Assembly majority, although the main groups have said they will not seek to remove it before the 2028 elections; the long-term status debate continues, with the President favouring a gradual approach; and the economy remains dependent on tourism and imports. These are well mitigated by strong reserves, a clear tourism and energy strategy and generous incentive frameworks. Investors should take local tax and legal advice, secure incentive approvals early and diversify markets to capture the territory's substantial upside.

MARKET ACCESS

As an overseas country and territory associated with the European Union, French Polynesia sits outside the EU single market and customs union, sets its own customs duties and VAT, and has duty-free, quota-free access to the EU market together with EU cooperation funding; its French nationals are EU citizens. Exports are led by tourism services worth XPF 88 billion in 2025, Tahitian pearls and fish, with total exports of goods and services of XPF 126.2 billion, up 8.1%. Faa'a international airport connects Tahiti with mainland France, North America, Asia and the wider Pacific, and cruise passengers reached 53,900 in 2025. Within the region, French Polynesia is a full member of the Pacific Islands Forum, giving it a voice alongside Australia, New Zealand and Pacific neighbours, while France remains its principal economic and financial partner.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of French Polynesia (President Moetai Brotherson)	Heads the government, which sets economic, tax and investment policy and leads the Cap 2033 development plan	Primary reference point for strategic direction and major projects
Economic Development Agency (ADE)	Supports investment, business creation and exports, and receives local tax-incentive applications	Standard first point of contact for market entry and incentives
IEOM (Institut d'émission d'outre-mer)	Issues the CFP franc and monitors banking, credit and economic conditions in the French Pacific territories	Authoritative source of economic and banking intelligence
Ministry of Economy and Finance (Minister Warren Dexter)	Leads the budget, tax policy and the Cap 2033 economic plan	Key counterpart on tax, incentives and public finance
Assembly of French Polynesia (Speaker Antony Géros)	57-member legislature that votes local laws, taxes and the budget	Relevant for tax, incentive and sector legislation
High Commission of the Republic	Represents the French State, which retains defence, justice, public order and currency	Interlocutor on State financing, legality and national policy
Tahiti Tourisme and the tourism observatory	Promote the destination and steer the 2027–2035 tourism strategy	Partners for hotel and tourism-infrastructure investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Chamber of Commerce, Industry, Services and Trades (CCISM) and employer bodies such as the MEDEF Polynésie and CPME Polynésie represent business and engage regularly with the government. The Economic Development Agency coordinates investor support, while Business France and Team France Invest connect international investors with French networks. AFD, Bpifrance and the French State are the main public financing partners, and the European Union supports the territory as an overseas country and territory. Pacific Islands Forum membership and air links to North America, Asia and the Pacific provide wider regional channels.

INVESTOR PROFILE BEST SUITED

French Polynesia suits investors seeking a secure, euro-pegged base with strong tax incentives: hotel and resort developers targeting the Society Islands and outer archipelagos as visitor numbers grow towards 450,000; renewable-energy and storage developers benefiting from a 20% corporate tax rate and the 55–60% renewable target; pearl, aquaculture, seafood and agri-food businesses serving export and local markets; and digital and R&D companies attracted by reduced tax rates and the absence of personal income tax. Large projects of XPF 10 billion or more can use Priority Development Zone status.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Economic Development Agency
Discuss the project with the ADE to identify incentives, sites and the approvals needed for local tax credits.

STEP 2: Structure tax incentives
Take local advice on combining local and French national schemes, or on Priority Development Zone status for projects of XPF 10 billion or more.

STEP 3: Align with Cap 2033 and the tourism strategy
Position projects within the government's targets for tourism, renewables, agriculture and technology, and follow the 2027–2035 strategy consultation.

STEP 4: Line up co-financing
Approach AFD, Bpifrance and local banks, and explore EU overseas cooperation programmes.

STEP 5: Monitor the political calendar
Track Assembly votes on tax and budget measures ahead of the 2028 territorial elections and keep dialogue with all major groups.